

The large number suggests price might not decline as far as you expect.

Launch price. Imagine a flat landscape with a hill in the middle of it. That hill represents the head-and-shoulders pattern. If you see that situation on a price chart, the stock might return to bottom just above the launch price (the price where the stock started its uphill run to the complex top).

[Figure 42.1](#) shows an example of this. Price started its move up to the left shoulder in late October, and when the complex top completed, the stock dropped and bottomed in mid-January near the launch price (about 29).

[Figure 42.2](#) shows another example. The launch price is about 14 or 15 in early November, and the stock returned there in June.

What we're seeing is price dropping until it finds support, like that shown in [Figure 42.5](#), near 50, slightly above the launch price.

Wait for confirmation. Since a simple head-and-shoulders pattern makes the core of a complex top, trade the inner head-and-shoulders. That strategy may allow you to place a trade sooner than waiting for price to close below the neckline or armpit of the complex top. For conservative investors, wait for the complex top to confirm.

Consider selling a stock if the complex top confirms. In bull markets, a complex top will send price down farther than a simple head-and-shoulders top, but the differences are minor.

Stop location. For short positions, look for areas of strength—overhead resistance—and place a stop-loss order just above that level. Common resistance levels are the shoulder valleys, shoulder tops, and head top. Should price close above the highest high in the complex top, cover the short, because price is likely to continue rising.

Busted trade. If the stock drops no more than 10% after the breakout and then closes above the top of the complex top, consider buying the stock. In bull markets, single busted patterns happen 63% of the time and price rises an average of 50% (median: 36%) above the top of the complex top. That's for a perfect trade, but you should be able to nibble off some of that move, and perhaps more.

Tips. I have some tips I want to pass on from studying complex tops and other bearish patterns.